Compensation, Equity & Approval Schedule

A focused decision register and mechanism specification for a future binding agreement

Negotiation schedule — no granted securities or approved wages • November 7, 2026

A | Compensation terms requiring agreement

Role / working time	**Joint active business operator; scope includes operations and technical specialization. Actual hours and classification need confirmation.**
Initial salary	UNDECIDED. $60,000/year previously discussed only as an illustrative full-time starting proposal.
Payroll start and frequency	UNDECIDED. Written Minnesota wage notice required at employment start.
Quarterly monitoring	Proposed: reconcile monthly financials; formal review every 90 days.
Initial increase trigger	INTENDED to be automatic when agreed objective financial stability criteria have been met.
Increase amount	NOT predetermined; method of binding quantification UNDECIDED.
Increase effective date	UNDECIDED; should be prospective and meet wage notice requirements.
Emergency rules	Not agreed; must not retroactively reduce wages earned.

B | Proposed objective financial gate — needs actual definitions

- Three consecutive completed months of positive adjusted operating cash flow, measured consistently after existing payroll and routine obligations.
- Coverage of all incremental employer payroll cost from sustainable available cash, not gross revenue.
- At least three months of essential operating cash commitments funded after the proposed increase.
- Inventory replenishment, supplier bills, sales taxes, customer refunds/chargebacks and near-term liabilities adequately covered.
- A reasonable rolling cash forecast without a known material shortfall.
- The specific metrics, accounting reports, reserve denominator, seasonality treatment, owner, and dispute process must be defined before the trigger is enforceable.

C | Legal design question: automatic increase but unspecified amount

The founders want the first increase to be due automatically once the financial tests are met, with the exact amount based on business capacity at that time. A review deadline alone does not guarantee a raise. To make the increase objectively determinable, counsel should select and draft one calculation method now without prescribing the resulting future dollar amount. Possible approaches include a fixed share of a defined sustainable payroll-capacity pool, an independent compensation determination using agreed data

and rules, or a formula with a strictly positive floor once qualified. Each alternative has different enforceability and affordability implications.

No such formula or floor has been agreed. Until it is defined, only the review PROCESS can be described with confidence; an actual automatic dollar increase must not be represented as already guaranteed.

D | Progressive equity — agreed direction and unresolved terms

Prospective recipient	Elliott T. Miller
Current stated owner	Benjamin W. Conklin: 100% of issued shares per user representation
Final ownership range	30%–40% discussed/agreed in principle; exact target not selected
Earned via	Time-based vesting for continued qualifying service
Duration / commencement	Undecided; prior service recognition to be negotiated
Capitalization basis	Undecided; fully diluted definition, dilution and post-transaction denominator required
Instrument and source	Undecided; new corporate shares / options / transfer from Ben
Separation / sale treatment	Undecided; vested rights, termination, repurchase, acquisition
Approvals / taxes	Board, securities, Section 83/409A as applicable; tax election status not verified

E | Launch authorization and document sequence

- 1. Verify articles, bylaws, actual board and officers, share ledger, any investor/transfer restrictions, tax classification.
- 2. Agree initial salary and employment details, then execute corporate-authorized employment instrument and Minnesota wage notice; resolve compensation for any work already performed.
- 3. Complete objective salary-adjustment definition; approve the prospective schedule under appropriate corporate authority.
- 4. Set exact target equity, vesting, prior service credit, source, valuation, tax and exit provisions; secure lawful board/shareholder approvals and execute definitive award/transfer.
- 5. Add concise governance/shareholder-control protections, IP schedules, bank/payment authority and launch resolutions as applicable.
- 6. Validate actual operational readiness and sign launch GO/NO-GO only with current evidence, not historical status.

F | Official legal reference links

Minnesota Revisor (Chapter 302A): https://www.revisor.mn.gov/statutes/2026/cite/302A/full

Minnesota DLI employee wage notice: https://dli.mn.gov/employee-notice

Minnesota DLI wage and overtime guidance:
https://www.dli.mn.gov/business/employment-practices/wages-and-overtime-faqs

Sources are guidance for legal review and do not establish that the corporate approvals or payroll setup have been completed.